Course Outline

Macroeconomics-I

FLAME UNIVERSITY

Description

This course is the first part of a two-course sequence introducing macroeconomics — the study of the economy as a whole. It begins with the basic concepts, measurements, and institutions of an economic system, familiarising students with the core macroeconomic tools, theories, and policies, starting from the measurement of aggregate variables such as GDP, CPI, and the unemployment rate. It connects these ideas to everyday economic problems, then turns to the factors that drive productivity, employment, and output, and to the micro-founded theories behind household and firm decisions on consumption, investment, and money demand. Finally, it integrates the goods, money, and labour markets within the **IS-LM and AS-AD frameworks** to examine general equilibrium.

Teaching Philosophy

I teach macroeconomics as a connected set of models, not a list of topics: we build the goods, money, and labour markets and assemble them into one general-equilibrium framework. My emphasis is **genuine understanding over memorisation** — explaining the intuition, working through the mathematics, and applying models to real problems. Class time is active and the course is deliberately demanding; I ask you to protect your attention, take your own notes, and use AI to support your learning, never to replace your thinking.

Objectives

This course is an introduction to macroeconomics, which studies the behaviour of entire economies rather than individual markets. My objectives for you as students are the following:

- **To introduce** macroeconomic issues and the numerical measures of macroeconomic aggregates.
- **To analyze** macroeconomic models of consumption, investment, employment, output, money, and inflation.
- **To understand** both short-run and long-run behaviour of the aggregate economy.
- **To model** frameworks for the determination of equilibrium output (integrating goods market, money market, and labour market analysis).
- **To examine and critically analyze** macroeconomic theories and macroeconomic policies.

Course Outcomes

Upon completion of the course students should:

a. Define key macroeconomic indicators (GDP, inflation, CPI, unemployment rate, growth rate).
b. Describe the theories of productivity, employment, and output relationships.
c. Apply theories of consumption, saving, and investment to economic scenarios.

d. Analyze and illustrate the concepts related to assets, money, and prices.
e. Evaluate economic conditions using the IS-LM/AS-AD general framework for macroeconomic analysis.

Lectures

The lecture slides will be shared immediately after completing the module/topic in MOODLE. The lecture slides do NOT cover the complete course material – they indicate what is broadly intended to be covered in the lecture(s); students are expected to **attend the lectures and develop their understanding through writing their own notes** and subsequently reviewing the chapter-end review questions and problems.

Workload

You will be **responsible for all the assigned content in the textbook/s, even if we do not cover it explicitly in class**. The content of the classes will strictly follow the provided outline, so you can rely on it. However, I may occasionally deviate within a broader topic if I sense that you would benefit from a different aspect of the subject matter. There are no optional or supplementary readings for this course.

Topics Covered

Module 1: Introduction to Macroeconomics (8 Hours)

Introduction, measuring the value of economic activity — GDP, measuring the cost of living — CPI, measuring joblessness — the unemployment rate.

Module 2: Productivity, Employment and Output (8 Hours)

Production function and its properties — constant returns to scale, diminishing marginal products, total factor productivity, labour demand, labour supply, equilibrium, unemployment — structural, cyclical, frictional, and the natural rate, Okun's Law.

Module 3: Consumption, Saving and Investment (8 Hours)

Consumption, savings, and factors affecting them, investment — user cost, desired capital stock, desired investment, goods market equilibrium.

Module 4: Asset Market, Money and Prices (7 Hours)

Money, functions of money, portfolio allocation, and demand for assets, demand for money as liquidity preference — an interest-elastic money demand function of income and the interest rate, with velocity and the Quantity Theory of Money as the special case, asset market equilibrium, money growth and inflation.

Module 5: IS-LM / AS-AD (14 Hours)

Labour market equilibrium, goods market equilibrium, asset market equilibrium, general equilibrium in IS-LM, price adjustments and attainment, aggregate demand and aggregate supply curve, AS-AD equilibrium, money neutrality.

Assessments and Assignments

Formative coursework

Formative assessment will be done through **non-graded** quizzes and fun assessment through Space Run on the Socrative Platform. The goal of formative assessment is to monitor your learning to provide ongoing feedback that can be used by me to improve my teaching and by you to improve your learning.

Individual Assignment

There will be one individual assignment, worth 10% of the final grade. It is to be **completed on your own** and will test the material covered up to that point.

Problem Set (Group)

The comprehensive problem set is a **group assignment**, worth 20% of the final grade. It will cover analytical questions and mathematical problems involving algebra and basic calculus.

Midterm Exam & End Term Examination

The Mid-Term will cover the first 3–4 chapters and will include MCQs, short-answer questions, and problems with a fair mix of easy–medium and difficult questions.

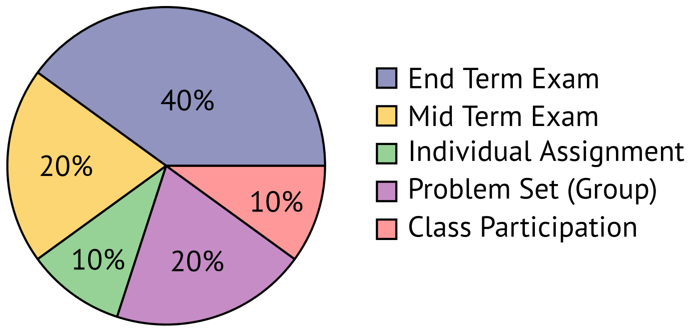
The End Term Examination will be comprehensive and will emphasize the second half of the semester. It will follow the same format as the Midterm and will be **closed book**.

Late Submission & Make-up

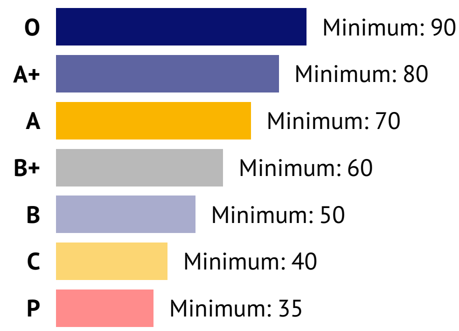
Deadlines are firm. Late submissions of the individual assignment or problem set lose **10% of the component's marks per day** and are not accepted more than three days after the deadline, except where you have a documented and valid reason (illness, emergency) discussed with me in advance where possible. There are no make-ups for the Midterm or End Term Examination except under the Office of Examination's regulations for genuine, documented emergencies.

Grading

This is a demanding course, and the grading rewards genuine understanding rather than rote effort. To keep standards comparable across sections, I reserve the right to adjust marks upwards in order to standardize the median score. Marks will never be adjusted down for this procedure.



Grading Component Breakdown



Grading Scale

Grades for assignments are awarded on the basis of given criteria (Rubric) and not other factors, such as performance in class, attendance, appearance, gender, or ethnicity; **low grades do not imply a rejection of the student, and hard work does not guarantee high marks.**

Required and Supplemental Textbooks

Required Textbook

Macroeconomics by Abel, A., Bernanke, B. & Croushore, D., 11th Ed., Pearson Education.
Abel, Bernanke, and Croushore's macroeconomics text prepares students to analyze real economic data through a unified model approach that balances classical and Keynesian perspectives. The book addresses a common student challenge by showing how different macroeconomic models connect and fit into the broader economic framework.

Supplemental Textbook

Macroeconomics by N. Gregory Mankiw, 11th Ed., Macmillan Learning.
It offers a thorough and accessible overview of modern macroeconomic theory and reveals how this theory is used to analyze public policy. Designed for students who may not have extensive backgrounds in economics, the text balances theoretical coverage with examples of practical applications that allow students to see concepts in action.

Additional Readings

Reading materials (including journal articles, book chapters, and other resources) will be provided at the beginning of the course and will be updated during the course and published in MOODLE. Please keep yourself informed of these updates.

Sessions

Week (Date)	Module	Assessment
Wk 1 (Aug 17) – Wk 3 (Aug 31)	Introduction to Macroeconomics	
Wk 4 (Sep 7) – Wk 6 (Sep 21)	Productivity, Employment and Output	Individual Assignment (Wk 6)
Wk 7 (Sep 28) – Wk 9 (Oct 12)	Consumption, Saving and Investment	Midterm Exam (Wk 9)
Wk 10 (Oct 19) – Wk 12 (Nov 2)	Asset Market, Money and Prices	Problem Set Due (Wk 12)
Wk 13 (Nov 9) – Wk 17 (Dec 7)	IS-LM / AS-AD	Review (Wk 17)

Exam Week: December 14th – December 19th, 2026

Holidays (No Class): Janmashtami (Sep 4, Sec A); Gandhi Jayanti (Oct 2, Sec A); Dussehra (Oct 20, Sec A); Diwali break (Nov 8–12); Guru Nanak Jayanti (Nov 24, Sec A).

Course Policies

Anti-Cheating Policy

There is a strong anti-cheating policy in place for this course which offers significant advantages.

- Firstly, it provides assurance to all students that cheating is not occurring among their peers.
- Secondly, the policy aims to create a deterrent effect, making the act of cheating so risky that individuals are dissuaded from attempting it.
- In order to achieve these objectives, students will face penalties for behaviours that could facilitate cheating; the penalties are substantial but not excessively severe. Claiming ignorance of these rules is not an acceptable excuse for non-compliance.
- Violations of specified rules will result in an **automatic deduction of 5 points**, with more severe infractions incurring a straight 0 for the component. The End Term Exam will be as per the Regulations set by the Office of Examination.

Academic Integrity & Referencing

All work you submit must be your own. Plagiarism (presenting others' words or ideas as your own), collusion (unauthorised collaboration — note that the group problem set is the *only* collaborative assessment), fabrication of results, and contract cheating are serious violations and will be handled under FLAME University's academic-integrity regulations. Whenever you draw on a source — a textbook, article, dataset, or website — cite it clearly and consistently; if you are unsure what needs a citation, ask me before submitting.

Use of Generative AI

This is a **no-AI class** for all graded work. Generative-AI tools may not be used to produce any part of your submitted individual assignment, the group problem set, or your exam answers; doing so is treated as an academic-integrity violation under the anti-cheating policy above.

That said, you are **encouraged to use AI tools — such as Claude, ChatGPT, Gemini, and NotebookLM — for your own learning**: to explain difficult concepts, test your understanding, or explore ideas outside of assessed work. These can be genuinely useful study aids. However, they also make confident mistakes, so **verifying anything they tell you is your own responsibility** — treat AI output as a starting point to check against the textbook and lectures, never as an authoritative source.

Class Participation

- I encourage you to speak up in class, either to ask questions or to make a comment. Learning new topics is difficult, but I find it always helps to discuss things out loud.
- If we can communicate with each other to share how and what we think, we can all learn more effectively.
- I anticipate that our class discussions will be engaging, respectful, and meaningful.
- I will often ask questions and call on people, but please do not be intimidated. **The goal is to think out loud, not to "test" you**; it is completely fine if you do not know an answer. This form of participation will not affect your grade.
- **Engagement and active participation in class are critical** towards developing a deeper understanding of the material, and will have a positive impact on your final grade.
- If I or a classmate has the floor, please be attentive and do not hold any side conversations. If you must ask the people around you about something class-related, keep it to a whisper.
- Be kind and respectful when addressing others.

Attendance

- **Attendance at lectures, active participation in group activities, and taking handwritten notes are expected** from students. It is important to arrive on time and be prepared to participate every day.
- A **minimum of 80% attendance** is required to be eligible for the End Term Examination, as per FLAME University policy.
- If you are unable to attend a class, it would be helpful for me to know the reason, although it does not excuse the absence.
- I will post lecture slides online, but simply reading slides is not a substitute for being in class.

Email Policy

- Email is the best way to contact me. Please reach out to me with any questions you have about class, economics, or personal concerns. I will do my best to **reply within 24 hours**. If you have not heard from me after 24 hours, just resend the email or remind me in class.
- If your question is not urgent and beneficial for everyone, I will periodically respond to the whole class in the format of (anonymous) frequently asked questions. Please include "ECON202/Section ?" in the subject

line of the email.
- I encourage you to use the forum on MOODLE to ask your classmates any questions you may have. The discussions you have with your classmates will play a large role in everyone's success in this class. I will also keep track of the forum and address questions as needed.

Accessibility & Accommodations

I am committed to an inclusive classroom. Students with a disability or any condition that affects their participation or assessment are entitled to **reasonable accommodations**. Please contact the relevant FLAME University student-support office — and me, in confidence — as early in the semester as possible so that arrangements can be put in place. All such requests are treated confidentially.

Student Wellbeing & Support

Your wellbeing matters more than any single grade. If personal, health, or financial difficulties are affecting your studies, please reach out — to me, or to FLAME University's counselling and student-support services. Seeking help early makes a difference, and doing so will never count against you.

Classroom Policies

Classroom Etiquette & Expectations

- **Please keep phones silenced and out of sight during class.** Divided attention measurably lowers comprehension — for you and for the people around you — so this is about protecting everyone's focus, not policing behaviour.
- Laptops and tablets are used only when a specific task calls for them (see the Electronics Policy below).
- Arrive on time, and engage with each other respectfully. Persistent disruption after a reminder may carry a small grade penalty, but the aim is simply a class where everyone can concentrate.

Classroom Discipline (as per the University Handbook)

Standards of classroom conduct and the associated disciplinary procedures are **governed by the FLAME University Handbook (pp. 28–29)**, which takes precedence over anything summarised here. In short: arrive on time, engage respectfully, and use electronic devices only when a task calls for it. A faculty member may ask a student to leave the classroom on grounds of indiscipline; any matter not covered above is handled per the Handbook.

Electronics Policy: No Laptops or Tablets During Class

Electronic devices including laptops and tablets are **prohibited during class sessions**. This policy stems from extensive research and classroom observations showing how these devices impair student learning and engagement.

Multiple studies confirm that laptop use during lectures harms academic performance. Research from Princeton and UCLA shows that students taking handwritten notes significantly outperform laptop users on conceptual comprehension, because typing encourages verbatim transcription rather than the deeper processing that learning requires (Mueller & Oppenheimer, 2014). A randomized trial in an introductory economics class at the United States Military Academy found that students in laptop-permitted classrooms scored lower on final exams than those in device-free sections, and the effect persisted even when tablets were restricted to lying flat on the desk (Carter et al., 2017). Objective logging of students' in-class browsing shows that non-academic internet use is common and predicts lower exam scores even after accounting for motivation, interest, and ability (Ravizza et al., 2017); the broader literature consistently links media multitasking to weaker recall, comprehension, and grades (Beland & Murphy, 2016); (May & Elder, 2018).

My own classroom experience confirms these findings: devices too easily become portals to social media and other distractions, and a focused learning space requires removing them.

No Recording Devices

Audio and video recording in the classroom, during examinations, and in office hours is **strictly prohibited** without explicit written permission. This covers all devices — phones, AI-enabled smart glasses, smartwatches, or any wearable capable of capturing audio or video. Violations are a breach of academic integrity and will be **referred to the University's Disciplinary Committee** per the FLAME University Handbook (pp. 28–29).

Exceptions to the Electronics Ban

Students with documented disabilities or legitimate academic needs may request device accommodations. To qualify, schedule office hours to discuss your situation and provide professional documentation explaining why handwritten notes are inadequate and electronic devices are essential for your learning. Approved accommodations require strict adherence to academic use only – no browsing, entertainment, or unrelated activities. I remain committed to supporting all students' educational rights while maintaining classroom focus.

THE END

"The difficulty lies, not in the new ideas, but in escaping from the old ones."
– John Maynard Keynes, The General Theory of Employment, Interest and Money

"Economic knowledge is historically determined … what we know today about the economic system is not something we discovered this morning but is the sum of all our insights, discoveries and false starts in the past. Without Pigou there would be no Keynes; without Keynes no Friedman; without Friedman no Lucas; without Lucas no …" – Mark Blaug, epigraph to Snowdon & Vane, Modern Macroeconomics